

Does Median Household Income Predict Median House Value in California?

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Key Findings

Right-skewed distribution:

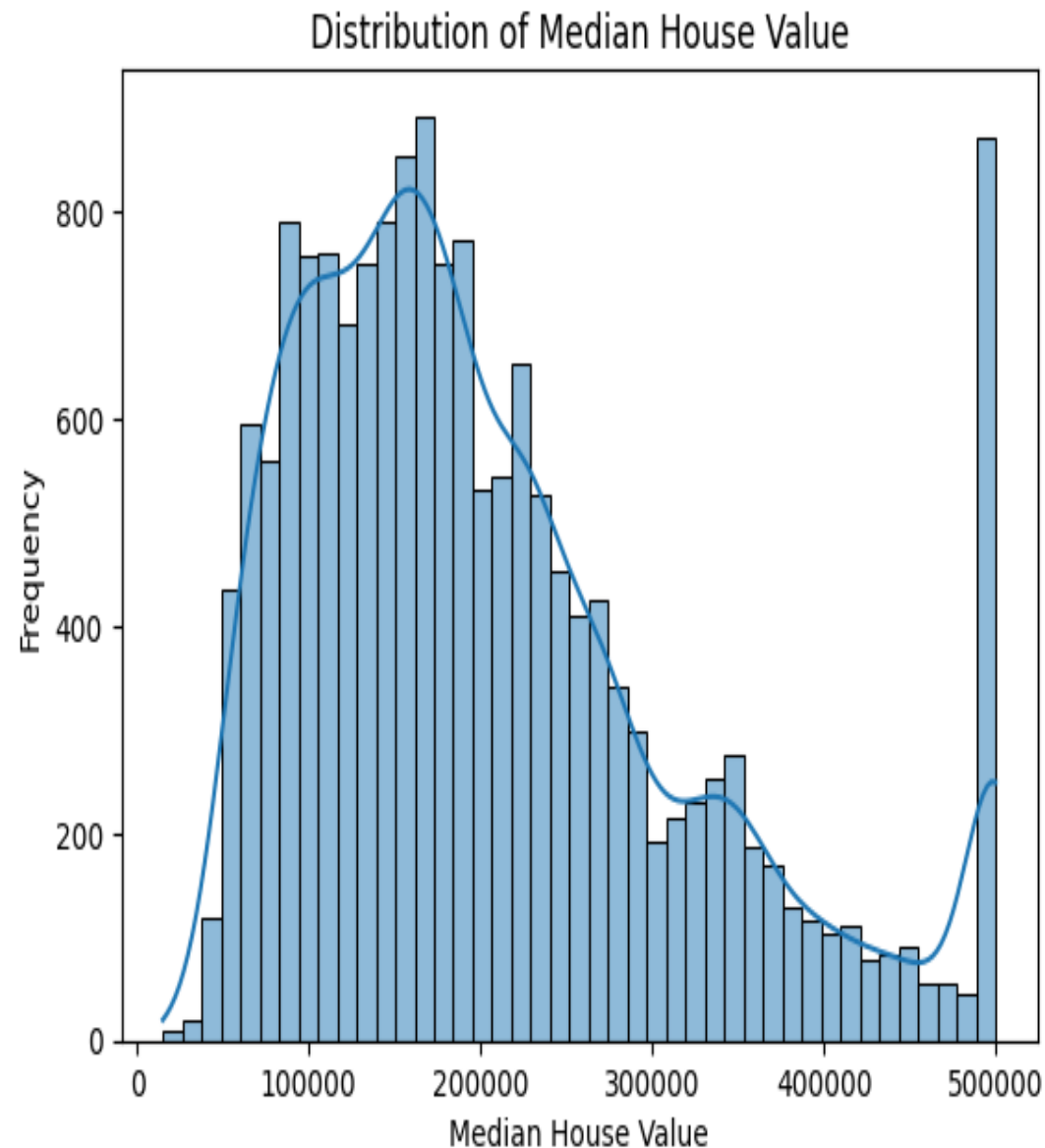
most homes are concentrated in the \$100K–\$250K range, with frequency tapering off at higher values

Peak around \$150K–\$175K:

the most common home values

Data Set: 20,640 California census block groups from the 1990 Census

$$V_{\text{house}} = \beta_0 + \beta_1(\text{Income}) + \beta_2(\text{Age}) + \varepsilon$$



Regression Results: Controlling for Median Housing Age

Regression Rate:

Every \$10,000 increase in median income yields a \$43,170 increase in house value ($p=0.000$)

Main Conclusion:

Income is a highly significant and robust predictor of housing value. Higher income neighborhoods tend to have much higher home prices.

Note: Residuals show heteroskedasticity and a ceiling effect at \$500,000, indicating some violations of OLS assumptions.

